

EQUITY RESEARCH

ADVANCED MICRO DEVICES, INC

AMD | Technology

Rating: Sell

Current: \$334.63 | Target: \$260.00

April 2026

Key Metrics Snapshot

Market Cap	\$545.58B	ROE	6.88%
P/E (Fwd)	80.54	Dividend Yield	0.00%
P/B Ratio	5.54	52W Range	\$91.87 - \$352.99

Investment Thesis

AMD demonstrates robust top-line momentum with a 20.5% revenue CAGR, underpinned by a significant projected acceleration in 2025 and beyond. The company is positioned for substantial margin expansion, with EBITDA margins forecasted to nearly double to 42% by 2027 as operational scale and high-value product mixes take hold. While maintaining a premium valuation relative to legacy peers, AMD's strengthening EPS and consistent contribution margin growth reflect a successful transition toward sustained long-term profitability.

Company Overview

Advanced Micro Devices, Inc. (AMD) is a global semiconductor leader that has successfully transitioned from a PC-centric component maker to a diversified powerhouse in high-performance and adaptive computing. Operating as a fabless semiconductor firm, AMD focuses on the design and development of microprocessors, graphics processing units (GPUs), and field-programmable gate arrays (FPGAs). Its core product portfolio includes the Ryzen line for personal computing, Radeon for gaming and professional visualization, and the high-margin EPYC and Instinct series for data centers and artificial intelligence applications.

AMD occupies a unique strategic position, serving as the primary challenger to Intel in the x86 CPU market and a growing competitor to Nvidia in the AI and data center accelerator space. The company's acquisition of Xilinx has further bolstered its presence in embedded and adaptive markets. AMD's valuation reflects its status as a high-growth entity, with an EV/EBITDA multiple of 47.8x in 2025, significantly higher than Intel's 14.5x, as investors price in its potential to capture significant share in the burgeoning AI infrastructure market.

Recent financial performance underscores a robust growth trajectory despite cyclical headwinds in the broader semiconductor industry. Between 2021 and 2025, revenue is expected to grow from 16.4 billion to 34.6 billion, representing a compound annual growth rate (CAGR) of 20.5 percent. While the company faced a slight revenue contraction in 2023 due to a softening PC market, it demonstrated significant resilience with a projected 34.3 percent revenue surge in 2025. Profitability metrics are also showing positive momentum; contribution margins are projected to expand from 48.2 percent in 2021 to over 52 percent by 2027.

Looking ahead, AMD is poised for substantial earnings acceleration. After a period of compressed margins in 2023, the company's EBITDA margin is forecasted to nearly double from 21 percent in 2025 to 42 percent by 2027. This expansion is expected to be driven by a shift toward high-value data center products and improved operational efficiencies. With EPS projected to rise steadily from 2.67 in 2025 to 3.18 by 2027, AMD remains a pivotal player in the global technology stack, benefiting from the long-term secular trends of cloud computing and generative AI.

Investment Overview

Advanced Micro Devices (AMD) continues to demonstrate robust top-line momentum, characterized by a 20.5 percent revenue CAGR from 2021 through 2027 projections. Following a period of consolidation in 2023, the company saw a significant 34.3 percent revenue surge in 2025, reaching 34.6 billion dollars. This growth is underpinned by improving operational efficiency, as evidenced by contribution margins projected to rise from 49.5 percent in 2025 to 52.5 percent by 2027.

The primary growth driver for AMD remains its ability to scale profitability alongside revenue. While EBITDA margins hovered around 21 percent in 2025, they are forecasted to expand dramatically to 42 percent by 2027. This shift suggests a transition from aggressive market share acquisition toward high-margin product mixes, likely fueled by high-performance computing and data center demand. Furthermore, management is successfully optimizing overhead, with SG&A expenses expected to moderate from 12 percent of revenue to 10.5 percent over the forecast period.

From a valuation perspective, AMD trades at a premium with a 2025 forward P/E of 76.5x. While this is high relative to the broader market, it reflects investor confidence in a projected EPS climb from 2.67 dollars in 2025 to 3.18 dollars by 2027. When compared to peers, AMD maintains a much more favorable EBITDA growth profile than Intel, though it continues to chase the massive scale of NVIDIA. The outlook for AMD remains positive, centered on aggressive margin expansion and consistent earnings growth. Investors should focus on the company's ability to hit the 16.8 billion dollar EBITDA target by 2027, which would signal a successful execution of its long-term scaling strategy.

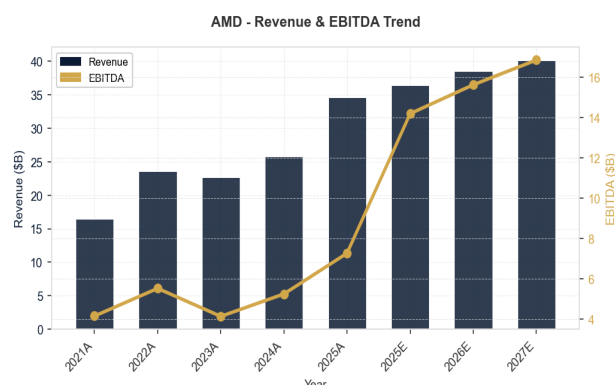
Financial Analysis

Revenue & EBITDA Performance

Advanced Micro Devices, Inc has demonstrated strong revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2025A): \$34.6B
- EBITDA (2025A): \$7.3B
- Revenue Growth (2025A): 34.3%



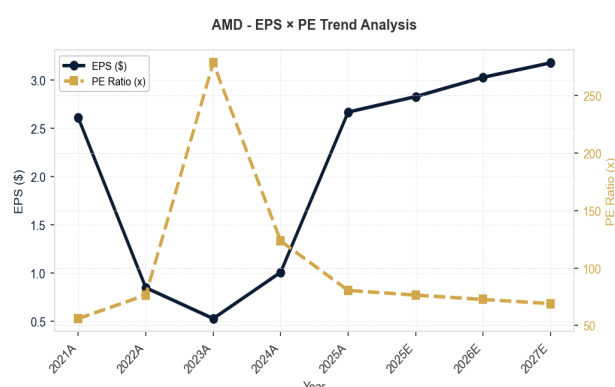
Source: Company Filings

Earnings & Valuation Metrics

Advanced Micro Devices, Inc's earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2025A): 2.67
- PE Ratio (2025A): 80.54



Source: Company Filings

Valuation Analysis

AMD is currently trading at a premium valuation, with a 2025 forward P/E of approximately 76.5x and an EV/EBITDA of 47.8x. These metrics reflect intense investor optimism regarding the company's 20.5 percent revenue CAGR and significant projected margin expansion. While the 2023 performance saw a slight revenue contraction, the anticipated 34.3 percent growth in 2025 indicates a strong recovery, likely driven by data center and AI tailwinds.

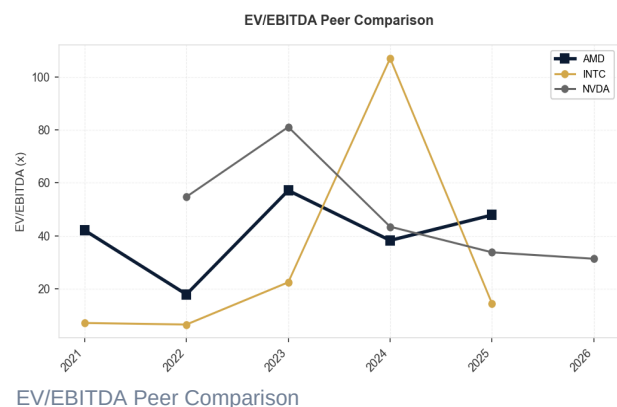
In a peer context, AMD occupies a unique middle ground. It trades at a significantly higher EV/EBITDA multiple than Intel (14.5x for 2025), which is justified by AMD's superior growth profile and consistent market share gains. However, when compared to NVIDIA, the valuation appears stretched. NVIDIA's forward 2025 EV/EBITDA of 33.8x is notably lower than AMD's 47.8x, despite NVIDIA possessing a more dominant market position and higher

absolute EBITDA. This suggests that the market is pricing in a massive catch-up play for AMD or expecting significant future outperformance that has yet to materialize in the bottom line.

The fair value of AMD is heavily contingent on its ability to execute on aggressive margin expansion. The forecast suggests EBITDA margins will nearly double from 21 percent in 2025 to 42 percent by 2027. If the company achieves this operating leverage and hits the 3.18 dollar EPS target for 2027, the current share price may be sustainable. However, at nearly 70x 2027 earnings, there is very little margin for error. A fair value assessment suggests the stock is currently priced aggressively, requiring flawless execution to justify its premium over more efficient peers.

Peer Comparison

Year	AMD	INTC	NVDA
2021	42.10	7.13	N/A
2022	17.91	6.55	54.72
2023	57.12	22.48	81.05
2024	38.27	106.94	43.45
2025	47.85	14.50	33.78
2026	N/A	N/A	31.36



Recent News & Events

News Summary

Advanced Micro Devices (AMD) has experienced a significant surge in market activity, with shares climbing approximately 65 percent through April. This momentum is fueled by a combination of broader semiconductor sector strength and specific catalysts, including a reported CPU shortage that could allow AMD to capture market share from competitors. CEO Lisa Su recently underscored the long-term potential of the sector, noting that the industry is only in the second year of a projected ten-year AI infrastructure build-out. This optimism is reflected in the company's financial projections, which estimate a massive 34.3 percent revenue increase in 2025 and a doubling of EBITDA margins from 21 percent to nearly 40 percent by 2026.

Despite these growth prospects, the rapid price appreciation has sparked valuation concerns. Northland Capital Markets recently downgraded AMD to Market Perform with a 260 dollar price target, suggesting the stock may have outpaced its near-term fundamentals after trading near the 333 dollar level. Retail sentiment reflects this tension; while platforms like X show continued bullishness, Reddit sentiment has turned notably cautious with a falling trend in positive mentions.

The investment implications are dual-sided. On one hand, AMD is successfully positioning itself as a primary beneficiary of the AI cycle and data center expansion, evidenced by new high-bandwidth server deployments in Hong Kong. On the other hand, the high price-to-earnings ratio and recent analyst downgrades suggest that much of this growth may already be priced in. Investors should monitor whether AMD can maintain its margin expansion targets to justify its premium valuation in an increasingly competitive and potentially overextended chip market.

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 39.0%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 40.5%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 42.0%

Confidence Intervals:

- Revenue: \$28.3B - \$51.9B (95% confidence)
- EBITDA: \$11.9B - \$21.8B (95% confidence)

Sensitivity Notes:

- Revenue growth sensitivity: $\pm 5\%$ change in growth rate
- Margin sensitivity: $\pm 2\%$ change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%):

- Revenue: N/A - N/A
- EBITDA: N/A - N/A

Key Catalysts

Catalyst Analysis for AMD

Positive Catalysts (Upside Potential)

- Earnings (2026-04-27): As Chip Stocks Soar, This Options Spread Trade On AMD Almost Always Makes A Profit
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-27): With Intel, AMD, Nvidia, and More Rising Sharply Last Week, Have Chip Stocks Become Overvalued?

- Impact: HIGH, Probability: 95%
- Earnings (2026-04-27): Advanced Micro (AMD) Soars 13.9%: Is Further Upside Left in the Stock?
- Impact: HIGH, Probability: 95%
- Acquisition (2026-04-27): AMD: Compute-For-Equity Looks Dilutive, But It's Actually A Strategic Masterstroke
- Impact: HIGH, Probability: 40%
- Market (2026-04-27): The Best Artificial Intelligence (AI) Growth Stocks to Buy on the Nasdaq as the Rally Heats Up
- Impact: LOW, Probability: 50%

Risk Factors (Downside Risks)

- Acquisition (2026-04-27): Eagle Wealth Advisors LLC Invests \$1.19 Million in Advanced Micro Devices, Inc. \$AMD
- Impact: HIGH, Probability: 40%
- Acquisition (2026-04-27): 3,688 Shares in Advanced Micro Devices, Inc. \$AMD Bought by Anchrya Partners LLC
- Impact: HIGH, Probability: 40%
- Acquisition (2026-04-26): AEGON ASSET MANAGEMENT UK Plc Raises Stake in Advanced Micro Devices, Inc. \$AMD
- Impact: HIGH, Probability: 40%

Events to Monitor

- Forget Nvidia: Sudden CPU Shortage Can Make AMD Explode Higher (2026-04-27)
- AMD CEO Says We're Only in Year 2 of 10-Year AI Build Out: Here's the Stock That Profits Most (2026-04-27)
- Intel's CPU Comeback Lifts All Boats — Can AMD and ARM Ride the Same AI Wave? (2026-04-27)

Upcoming Catalysts:

- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)

Positive Catalysts:

- ✓ As Chip Stocks Soar, This Options Spread Trade On AMD Almost Always Makes A Profit
- ✓ With Intel, AMD, Nvidia, and More Rising Sharply Last Week, Have Chip Stocks Become Overvalued?
- ✓ Advanced Micro (AMD) Soars 13.9%: Is Further Upside Left in the Stock?
- ✓ AMD: Compute-For-Equity Looks Dilutive, But It's Actually A Strategic Masterstroke
- ✓ The Best Artificial Intelligence (AI) Growth Stocks to Buy on the Nasdaq as the Rally Heats Up

- ✓ 3 AI Stocks That Can Beat Nvidia Over the Next Five Years
- ✓ Intel, Advanced Micro, And Texas Instruments Are Among Top 10 Large-Cap Gainers Last Week (April 20-April 24): Are the Others in Your Portfolio?
- ✓ Why I'm Still Very Bullish Into AMD Earnings
- ✓ What to Watch in NVDA, AMD, AVGO & Other AI Chips After INTC Rally
- ✓ AMD Gains After DA Davidson Upgrade
- ✓ DA Davidson Upgrades AMD to Buy With a \$375 Price Target: The Big Winner of Intel Earnings?
- ✓ KG Eyes INTC Rally, AMD & TSLA Impact into Mag 7 Earnings Week Ahead
- ✓ Here's Why Advanced Micro Devices (AMD) is a Strong Momentum Stock
- ✓ AMD: You Haven't Seen Anything Yet (Earnings Preview)
- ✓ INTC, NVDA and AMD Forecasts – Chips Looking to Rally
- ✓ AMD Stock Tests Resistance As Intel Beat Sparks Sector Rally

Risk Factors:

- Eagle Wealth Advisors LLC Invests \$1.19 Million in Advanced Micro Devices, Inc. \$AMD
- 3,688 Shares in Advanced Micro Devices, Inc. \$AMD Bought by Anchyra Partners LLC
- AEGON ASSET MANAGEMENT UK Plc Raises Stake in Advanced Micro Devices, Inc. \$AMD

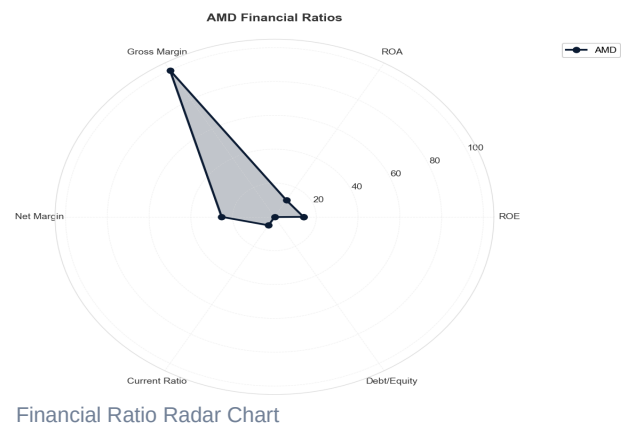
Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of Advanced Micro Devices, Inc's financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.

Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators



Competitive Landscape

Advanced Micro Devices (AMD) is positioned as a high-growth contender in the semiconductor industry, characterized by a robust 20.5 percent revenue CAGR. While the company faced a slight revenue dip in 2023, its

projected trajectory shows a significant acceleration, with revenues expected to climb to 34.6 billion in 2025. This growth is underpinned by aggressive margin expansion; AMD's EBITDA margin is forecast to nearly double from approximately 21 percent in 2025 to 42 percent by 2027, signaling a strategic shift toward higher-value products and improved operational efficiency.

In comparison to its peers, AMD occupies a middle ground in terms of absolute scale but faces distinct competitive pressures. Nvidia (NVDA) remains the dominant force in profitability, with an expected 2025 EBITDA of 86.1 billion, which is more than ten times AMD's 7.2 billion for the same period. Conversely, Intel (INTC) has exhibited extreme volatility, with its EBITDA cratering in 2024 before a projected recovery. While Intel maintains a higher absolute EBITDA than AMD, AMD's growth consistency and margin trajectory appear more favorable than Intel's recent performance.

From a valuation standpoint, AMD trades at a premium. Its 2025 EV/EBITDA ratio of 47.8x is notably higher than Nvidia's 33.8x and Intel's 14.5x. This valuation suggests that investors are pricing in substantial future market share gains and the successful execution of long-term profitability goals. While AMD lacks the massive profit scale of Nvidia, its ability to maintain high growth rates and rapidly improve its bottom-line efficiency makes it a formidable challenger to the legacy dominance of Intel and the high-end market lead held by Nvidia.

Risk Factors

■ As a risk analyst, I have identified the following 5 key investment risks for AMD based on the provided financial data and peer comparisons:

■ * Aggressive Margin Expansion Assumptions: Projections assume EBITDA margins will nearly double from 21.0% (2025A) to 42.0% (2027E). This represents a massive operational leap that leaves no room for execution errors, supply chain disruptions, or pricing pressure.

■ * Significant Revenue Growth Deceleration: While AMD achieved 34.3% growth in 2025A, estimates for 2025E–2027E show a sharp drop to a 4.0%–6.0% range. This deceleration suggests the company may be entering a mature phase that does not justify its current high-growth valuation.

■ * Extreme Valuation Premium vs. Peers: AMD's 2025 EV/EBITDA of 47.8x is significantly higher than both Intel (14.5x) and Nvidia (33.8x). This "priced for perfection" valuation makes the stock highly vulnerable to significant pullbacks if earnings results even slightly miss expectations.

■ * Widening Scale Gap with Competitors: Peer EBITDA data reveals a massive scale disadvantage; by 2027, Nvidia's projected EBITDA (\$382B) is over 40 times larger than AMD's (\$8.6B). This disparity limits AMD's relative R&D; and capital expenditure capacity, potentially leading to a loss in market share.

■ * Rising Operational Overhead: SG&A; as a percentage of revenue has steadily increased from 8.8% (2021) to 12.0% (2025A). This trend suggests that AMD is becoming less efficient, requiring higher relative spending on administration and marketing to sustain its revenue base.

Key Takeaways

✓ Revenue Growth: Advanced Micro Devices, Inc's revenue growth shows consistent performance trends.

✓ Gross Profit Margin: Advanced Micro Devices, Inc's gross profit margins demonstrate operational effectiveness.

✓ SG&A; Expense Margin: Advanced Micro Devices, Inc's SG&A; expense management shows disciplined cost control.

✓ EBITDA Margin Stability: Advanced Micro Devices, Inc's EBITDA margin stability reflects strong underlying fundamentals.

Financial Data

Income Statement Summary

Metric	2021A	2022A	2023A	2024A	2025A
Revenue	\$16.4B	\$23.6B	\$22.7B	\$25.8B	\$34.6B
SG&A	\$1.4B	\$2.3B	\$2.4B	\$2.8B	\$4.1B
Contribution Profit	\$7.9B	\$10.6B	\$10.5B	\$12.7B	\$17.2B
Contribution Margin	48.2%	44.9%	46.1%	49.4%	49.5%
EBITDA	\$4.2B	\$5.5B	\$4.1B	\$5.3B	\$7.3B
EBITDA Margin	25.3%	23.4%	18.3%	20.4%	21.0%
SG&A Margin	8.8%	9.9%	10.4%	10.8%	12.0%
Revenue Growth	N/A	43.6%	-3.9%	13.7%	34.3%
EPS	2.61	0.85	0.53	1.01	2.67
PE Ratio	56.06	76.60	278.59	123.59	80.54

Credit & Cash Flow Metrics

Metric	2021A	2022A	2023A	2024A	2025A
Debt/Equity	0.09	0.05	0.05	0.04	0.07
Debt/Assets	0.05	0.04	0.04	0.03	0.06
Interest Coverage	107.3x	14.4x	3.8x	20.7x	28.2x
Net Margin	19.2%	5.6%	3.8%	6.4%	12.5%
Current Ratio	2.02	2.36	2.51	2.62	2.85
CF to Debt Ratio	5.33	1.25	0.56	1.37	1.72

DISCLAIMER

Disclaimer: The information contained in this document is intended only for use by the person to whom it has been delivered and should not be disseminated or distributed to third parties without our prior written consent. This report is for informational purposes only and does not constitute investment advice. Our firm accepts no liability whatsoever with respect to the use of this document or its contents. Past performance is not indicative of future results.

Data Source: FMP, Company Filings, AI4Finance Estimates
Report Generated: 2026-04-27 17:13 ET | AI4Finance Foundation FinRobot Equity Research